Economic Duress

English contract law | Study guide | Illegitimate pressure, practical choice and restitution

A company may agree to an extra payment because an immediate commercial loss would otherwise follow. To decide whether it acted under economic duress, examine the source of the pressure, its effect on the decision and the options realistically available at the time.

1. Illegitimate pressure | What was threatened and why?

Identify the act threatened and the demand it was used to support. A threat to withhold performance already owed unless the other party pays more is a classic example. Examine the contractual rights, any genuine dispute, and the purpose and context of the demand. Financial hardship and unequal bargaining power alone are insufficient.

2. Causation | What did the pressure procure?

Identify the particular contract, variation or payment. Ask whether the party would have agreed on those terms without the illegitimate pressure. An internal record of the original plan, an ultimatum and a sudden change of position can help establish why the party gave in.

3. No reasonable alternative | What could work in time?

Consider substitute performance, an extension, urgent legal relief and any other realistic options. A damages claim later may do little for a business facing an immediate loss. Compare timing, cost and what each option would actually protect. A practical alternative can defeat the claim even if accepting the demand felt easier.

4. Pressure can be conveyed by words or conduct

An express ultimatum and an effective blockade can both exert pressure. In either case, identify the conduct attributable to the other party and connect it to the demand. Financial consequences the claimant fears, without illegitimate pressure from the other side, are insufficient.

> Legal English | **No reasonable alternative** refers to the options open at the time. **To yield to pressure** means to give in to it.

The Atlantic Baron

1. A fixed price and a later demand

Hyundai agreed to build a tanker for North Ocean Shipping at a price fixed in US dollars. After the dollar fell, Hyundai demanded 10% more on the remaining instalments and made clear it would not proceed on the existing terms. The original contract gave it no entitlement to the increase.

2. Why the shipowner agreed

The shipowner had a valuable charter commitment and needed delivery on time. It protested, then agreed to the increase and obtained a corresponding increase in security. The court held that the threatened breach procured the variation through economic duress. The extra security did not remove the pressure.

3. Why the extra payment was not recovered

After delivery, the shipowner waited about eight months before claiming repayment. The court treated its conduct, including its delay and lack of timely objection after the pressure had ceased, as affirmation of the variation. The initial duress and the later loss of the right to set the variation aside were separate findings.

4. Read affirmation against the full timeline

Identify when the pressure ceased and whether subsequent words, payments or other conduct showed an election to keep the deal. Delay is evidence in context. The eight months in this case do not establish a fixed time limit. A payment made while the pressure continues may show submission rather than affirmation.

> Case method | Separate the threat, the agreement, the end of the pressure and the claim for repayment. Each point answers a different legal question.

The Universe Sentinel and Times Travel

1. The Universe Sentinel | Pressure by withholding services

The International Transport Workers Federation arranged for tug services to be withheld, preventing the ship from leaving port. The shipowner agreed to payments to secure its release. The disputed sum before the House of Lords was the US$6,480 contribution to the union’s welfare fund.

2. Why restitution was available

The majority held that the contribution could be recovered. The shipowner had no practical choice, and the demand for the welfare contribution in the circumstances was illegitimate. The decision turned on the specific demand, including the scope of the trade-dispute protection then applicable. It is authority for recovery of money paid under economic duress.

3. Times Travel | When the threatened act is lawful

The airline could lawfully use the contractual levers at issue. The travel agent signed a new agreement waiving earlier commission claims. The Supreme Court found no economic duress. In commercial dealings, lawful-act duress is exceptional. Check the rights being exercised and the justification for the demand.

4. Match the remedy to the transaction

A variation procured by duress is generally voidable. A claimant who has paid may seek restitution, subject to any need to set aside the agreement and any applicable bars. The original obligations must be analysed separately. A timely protest may help, but the existence of duress and the right to recovery still need to be established.

> Exam method | First explain why the pressure was illegitimate. Then explain why it left no reasonable choice, what it procured and what happened after it ended.

Worked Problem and Authorities

The refrigerated consignment

An importer has paid the agreed freight. A carrier controls release of a refrigerated consignment and has no contractual right to retain it. It says it will release the goods only if the importer pays £12,000 for an unrelated fee that is not due. No substitute shipment or timely court order is available before the goods spoil. The importer pays under protest and demands repayment two days after release.

Model analysis

Illegitimacy and practical choice. The carrier used control of the goods to demand an unrelated payment. Refusing release breached its existing duty. The risk of spoilage and absence of a timely remedy support lack of a reasonable alternative.

Causation and restitution. The payment followed the demand and secured release. The protest supports the inference that the importer would not otherwise have paid. The prompt claim weighs against affirmation. Recovery of the £12,000 in restitution is likely on the stated facts.

Evidence. Check the freight contract and the demand, the time before spoilage and the record of the protest and refund request. These connect the pressure to the payment and show how the importer acted once it was free to decide.

> Variation | After release, the importer signs a voluntary settlement expressly accepting the extra fee. Consider whether that later agreement or affirmation bars recovery, even though the initial payment was made under pressure.

Selected authorities

North Ocean Shipping v Hyundai (The Atlantic Baron) [1979] 1 QB 705 | Affirmation after duress

Universe Tankships v ITWF (The Universe Sentinel) [1983] 1 AC 366 | Restitution of the welfare contribution

Pakistan International Airline Corp v Times Travel [2021] UKSC 40 | Lawful-act duress

Pao On v Lau Yiu Long [1980] AC 614 | Evidence of compulsion

DSND Subsea Ltd v Petroleum Geo-Services [2000] BLR 530 | Practical choice